NOMURA

Korea Strategy

Global Markets Research
28 July 2026

EQUITY: EQUITY STRATEGY

Korea's next re-rating

From liquidity and leverage rally to fundamental recalibration

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Corporate buybacks to become next structural driver

We believe the Korean equity market's correction to 6,691 (24 July 2026) from a peak of 9,115 (22 June 2026) was driven by the following flow factors: (1) heavy selling by foreign investors (KRW158tn; USD108bn) as Korea's benchmark weight exceeded portfolio limits, (2) slowing institutional support as National Pension Service's domestic asset allocation approached practical limits, and (3) rapid growth in leveraged ETFs and newly launched single stock leveraged products creating volatility (*Fig. 9*). We believe these factors led to amplified volatility despite resilient corporate fundamentals. As market "deleveraging" progresses and foreign selling pressure eases, the next leg of Korea's re-rating is likely to be supported by corporate share buybacks and treasury-share cancellations, particularly from large-cap companies, in our view. We estimate Korea's share buybacks to be KRW116tn/274tn/328tn for 2026F/27F/28F, ~90% of which will likely stem from the two large semiconductor companies (including buybacks for employee bonus and shareholder return). This should become a new structural source of demand and help the KOSPI re-rate toward our 10,000-11,000 target.

How Korea's ETFs intensified market volatility

Since the launch of the first leveraged ETF in the KOSPI in 2010, the number expanded to ~30/56 in 2020/26. Korea's total ETF market has ~KRW450tn in AUM (source: Bloomberg), of which leveraged ETFs account for KRW27tn (as of 23 July 2026), comprising ~6% of the total ETF market. Due to large leveraged ETF holdings by retail investors (~85% as per our estimates) and their negative return of 53% since the KOSPI peaked on 22 June (vs the KOSPI's overall decline of 22% during the same period), the South Korean government announced a first round of measures to restrict and tighten investment qualifications in these single leveraged ETF products. In addition, a sharp increase in retail investors' forced liquidations (*Fig. 11*) relative to outstanding margin receivables triggered an alert signal to the government, in our view.

Maintain KOSPI target of 10,000-11,000

We maintain our 2026 KOSPI target of 10,000-11,000 based on a 2026F P/E of 10.5-11.5x, P/BV of 2.5-2.8x, and ROE of 27% (currently trading at 2026/27F P/E of 7.0x/5.2x and P/BV of 1.7x/1.3x). We see the following as key catalysts for the KOSPI: 1) AI-driven earnings (including memory/ HBM, power equipment, ESS, and nuclear) to generate sustainable ROE for the next five years; 2) listed companies' shift toward better capital efficiency, shareholder return, and optimal leverage to support higher P/E and PBV; 3) active stewardship or activist campaigns; and 4) government enforcement for better target ROE disclosure and regulatory measures to facilitate non-core asset holdings, stricter listing requirement and governance structure. Downside risks to our view include: 1) corporate stock buyback falling short of our expectations of KRW116tn (2026F); 2) foreign investors' mechanical selling exacerbating once the KOSPI reaches above 7,500-9,000 (without KOSPI earnings or ROE upgrade); and 3) retail investors' rebuilding of steep leverage.

Korea's equity market and tax reform measures in 2H26F

We believe key policy developments in 2H26F could include tighter regulations of single-stock leveraged ETFs (than what was announced on 16 July), publication of a low-PBR company list, incentives for higher dividends, stricter duplicate-listing rules and KOSDAQ reform. We believe the low-PBR list, expected around November, could become the most direct company-specific catalyst by encouraging treasury-share cancellation, higher dividends and disposal of non-core assets. Meanwhile, we also believe stricter duplicate-

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listing rules and KOSDAQ reforms should improve shareholder protection, reduce parent-company discounts and strengthen overall market quality. Korea's late-July 2026 tax reform proposal, in our view, is likely to include: 1) higher tax incentives for long-term domestic equity investment through ISAs, pension accounts; 2) reforms to the inheritance and gift tax framework aimed at reducing controlling shareholders' incentive to suppress share prices; and 3) enhanced tax credits for AI, semiconductors, and other strategic industries, and regional investment incentives.

Fig. 1: Our Korea stock picks

Company	Code	Rating	Mkt cap (USDmn)	Avg. TO (USDmn)	Target price	Price 24-Jul	Upside (%)
Samsung Electronics	005930 KS	Buy	994,435	2,515	670,000	249,500	168.5%
SEMCO	009150 KS	Buy	67,524	135	2,500,000	1,326,000	88.5%
Kia Corp	000270 KS	Buy	34,734	136	250,000	130,500	91.6%
Celltrion	068270 KS	Buy	28,157	102	270,000	177,600	52.0%
Samsung SDI	006400 KS	Buy	23,514	193	900,000	428,000	110.3%
Hyundai Rotem	064350 KS	Buy	11,786	117	310,000	158,400	95.7%
NC	036570 KS	Buy	3,349	23	310,000	228,000	36.0%

Note: Pricing as of 24 July close
Source: Bloomberg Finance L.P., Nomura estimates

Korea’s next re-rating: from liquidity and leverage rally to fundamental recalibration

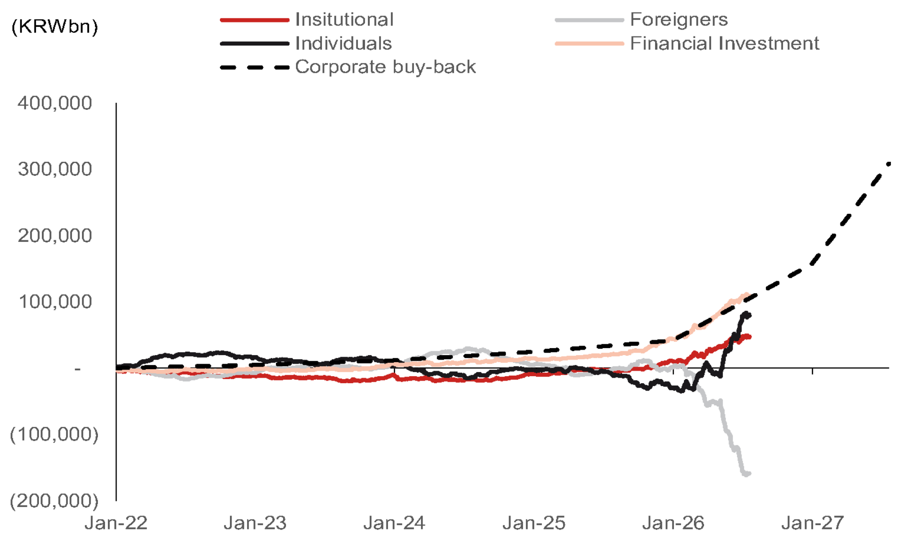
From a flow perspective, the Korean equity market’s correction to 6,691 (24 July 2026) from a peak of 9,115 (22 June 2026 close) was largely due to: 1) a large amount of foreign selling of KRW158tn year-to-date, (2) a rapid increase in leveraged ETF investments and the introduction of single-stock leveraged products (16/3 newly launched in Korea/Hong Kong at end-May 2026/May 2025) steepening market volatility; and (3) institutional flow becoming less supportive due to asset allocation rebalancing by pension funds (Korea’s National Pension Service has steadily increased its domestic equity allocation from 14.9% to 20.8%, but has also reached limits in overall fund allocation). The KOSPI’s volatility index hit all-time high of 96.9 on 29 June 2026.

As most foreign institutional investors operate under portfolio risk-management rules, they are forced to reduce exposure when an individual stock weighting exceeds a position limit (e.g., 10% of a fund) or Korea's weighting in global benchmarks such as MSCI rises beyond target allocations. In retrospect, this mechanical selling intensified when the KOSPI reached 7,500/9,000 in mid-May/end-June (*Fig. 6*) and to a less extent in Feb-March when the KOSPI reached ~6,000.

Corporate share buybacks to re-rate the KOSPI

We believe as market “deleveraging” progresses (discussed further in *The ongoing deleveraging may be a “re-setting” process*) and foreign selling pressure eases, the next leg of Korea's re-rating is likely to be supported by corporate share buybacks and treasury-share cancellations, particularly from large-cap companies. We estimate Korea’s buybacks to be KRW116tn/274tn/328tn for 2026F/27F/28F, ~90% of which will likely stem from the two large semiconductor companies (including buyback for employee bonus and shareholder return). This should become a new structural source of demand and help the KOSPI re-rate toward our 10,000–11,000 target *(Korea Strategy - New KOSPI target of 10,000-11,000, 20 May 2026)*, in our view.

Fig. 2: KOSPI equity market investor flow by investor type and forecast



Source: KRX, Nomura research

Fig. 3: KOSPI: quarterly share buyback forecasts

(KRWtn)	1Q26	2Q26	3Q26F	4Q26F	2026F	1Q27F	2Q27F	3Q27F	4Q27F	2027F	1Q28F	2Q28F	3Q28F	4Q28F	2028F
KOSPI buyback (total)	**12**	**8**	**42**	**54**	**116**	**56**	**45**	**74**	**100**	**274**	**101**	**75**	**66**	**87**	**328**
Memory "big 2"	**8**	**5**	**39**	**51**	**103**	**50**	**39**	**68**	**94**	**251**	**97**	**71**	**62**	**83**	**314**
Shareholder return	0	0	23	35	58	35	23	52	78	189	78	52	43	65	239
Employee bonus	8	5	16	16	45	15	15	15	15	61	19	19	19	19	75
Other companies	4	3	3	3	13	6	6	6	6	23	4	4	4	4	15

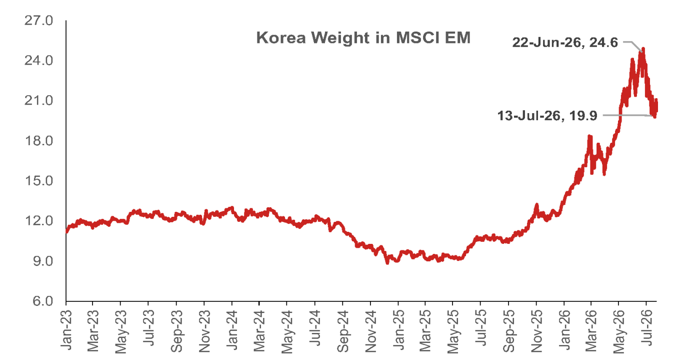
Note: SEC announced that its 2024-26 shareholder return budget will be 50% of three years' combined FCF. Out of the budget, we assume that remaining amount after paying out cash dividends will be spent for share buyback.
Source: Company data, Nomura estimates

Fig. 4: KOSPI: annual share buyback forecasts

(KRWtn)	2018	2019	2020	2021	2022	2023	2024	2025	2026F	2027F	2028F
KOSPI share buyback	**6**	**4**	**6**	**4**	**5**	**7**	**17**	**19**	**116**	**274**	**328**
% of KOSPI mkt cap	*0.4%*	*0.3%*	*0.3%*	*0.2%*	*0.3%*	*0.3%*	*0.9%*	*0.6%*	*2.2%*	-	-
Share buyback excl. memory	**3**	**4**	**6**	**4**	**5**	**7**	**15**	**11**	**13**	**23**	**15**
KOSPI Net profit	128	71	85	191	160	107	169	217	853	1,156	1,263
Buyback ratio (%)	*4.5%*	*5.4%*	*6.7%*	*2.0%*	*3.0%*	*6.1%*	*9.8%*	*8.8%*	*13.5%*	*23.7%*	*26.0%*
Net profit excl. memory	69	47	54	142	103	102	115	130	258	270	200
Buyback ratio (%)	*4.6%*	*8.1%*	*10.5%*	*2.7%*	*4.6%*	*6.4%*	*12.7%*	*8.4%*	*4.9%*	*8.7%*	*7.3%*

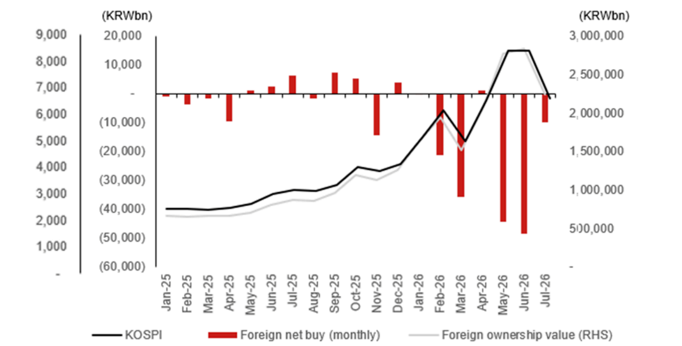
Note: Market cap data as of end of year (24 July close for 2026)
Source: KRX, Nomura estimates

Fig. 5: Korea market weighting in MSCI EM



Source: Bloomberg Finance L.P., LSEG, Nomura research

Fig. 6: Foreign monthly net buy and sell vs KOSPI



Source: Quantiwise, Nomura research

Fig. 7: Foreign investors' net buying of Asian/EM equities

Weekly foreign equity flows (except stated otherwise); data in USD mn

									Southbound Connect (HK)				ETF flows										
Week Ending	India (Total)	India (Scndry.)	Indo	Korea	Phils.	Taiwan	Thailand	Malaysia	Shanghai (SB)	Shenzhen (SB)	EM Asia ex CH	Japan	China A onshore ETFs	US listed China ETFs	China Tech-related US/HK	EM ETF	Bitcoin ETFs	EM ex China ETFs	India offshore ETFs	Korea offshore ETFs	Korea onshore domestic ETFs	Korea onshore Int. ETFs	TW onshore ETFs
02-Jan-26	(1,464)	(1,478)	124	(317)	4	1,038	(21)	(115)	185	(675)	(749)	(96)	(1,684)	(14)	(432)	433	(1,106)	129	27	136	789	309	(458)
09-Jan-26	(946)	(950)	121	464	36	(864)	(153)	88	1,537	2,662	(1,254)	7,757	(229)	125	2,674	3,206	(655)	331	(30)	419	(237)	1,497	(439)
16-Jan-26	(1,283)	(1,341)	249	(306)	51	2,063	241	233	916	372	1,248	4,936	(28,882)	177	(422)	5,163	2,457	171	(23)	689	1,256	684	(860)
23-Jan-26	(1,066)	(1,126)	(192)	813	4	(522)	44	136	2,115	902	(783)	1,234	(54,597)	(2)	281	4,173	(1,861)	55	23	533	1,241	783	(320)
30-Jan-26	301	109	(831)	(1,037)	127	561	9	36	(247)	593	(834)	1,033	(54,223)	(40)	(1,247)	5,015	(2,435)	587	50	679	2,724	1,811	(453)
06-Feb-26	1,078	1,043	(68)	(7,502)	23	(3,306)	332	102	4,026	3,150	(9,341)	1,747	(1,810)	(33)	906	784	(433)	41	310	217	4,899	(387)	618
13-Feb-26	216	(48)	(326)	2,221	23	6,467	1,013	151	2,356	1,201	9,765	8,070	(3,747)	(343)	(1,449)	3,296	(595)	657	284	1,039	3,286	294	(16)
20-Feb-26	340	344	123	(715)	11	0	354	(7)	0	0	105	3,500	0	(99)	271	1,179	(619)	32	89	812	(252)	(867)	0
27-Feb-26	54	(108)	292	(7,693)	88	4,837	45	(29)	111	746	(2,406)	5,069	(3,887)	(141)	(222)	4,385	1,290	795	118	1,501	1,142	727	(444)
06-Mar-26	(2,381)	(2,414)	131	(3,212)	(16)	(8,891)	(424)	96	(1,014)	(20)	(14,697)	1,507	(4,087)	(347)	1,512	683	1,229	94	(393)	1,173	3,007	(222)	3,050
13-Mar-26	(3,923)	(3,944)	(94)	(5,398)	(108)	(6,993)	(629)	(162)	4,382	2,320	(17,305)	(3,072)	(1,975)	(399)	(1,329)	151	1,363	117	(646)	712	1,730	(724)	2,770
20-Mar-26	(3,261)	(3,423)	20	(2,208)	(35)	(5,646)	(99)	(85)	(781)	(26)	(11,314)	(3,260)	2,295	23	1,220	(1,053)	286	503	(657)	(150)	(740)	307	1,167
27-Mar-26	(2,558)	(2,669)	(1,322)	(9,029)	(35)	(2,654)	59	150	1,987	1,226	(15,390)	(9,413)	184	(63)	766	(1,188)	(454)	1,043	(360)	(132)	1,203	305	1,558
03-Apr-26	(3,112)	(3,181)	(174)	(3,800)	(57)	(5,072)	(21)	14	1,083	(398)	(12,222)	11,993	(1,438)	(124)	(1,851)	(113)	39	333	(673)	(123)	2,376	520	1,632
10-Apr-26	(1,871)	(1,876)	(194)	3,454	(41)	6,125	227	118	(891)	(615)	7,817	10,309	(1,750)	18	776	114	1,384	454	(675)	76	763	432	80
17-Apr-26	575	487	(158)	(565)	(79)	5,095	(229)	(16)	2,773	516	4,623	6,289	(4,063)	157	(677)	203	1,831	553	51	387	(2,681)	420	(924)
24-Apr-26	(1,202)	(1,290)	(171)	(880)	(41)	4,091	(222)	(10)	2,530	(388)	1,565	4,920	(8,382)	237	298	270	1,506	340	136	419	(1,011)	332	115
01-May-26	(1,707)	(1,707)	(409)	(1,535)	(30)	(6,352)	15	(21)	3,453	(1,069)	(10,039)	2,278	(10,821)	38	(119)	48	275	(27)	95	(75)	534	677	(205)
08-May-26	(797)	(797)	706	(3,370)	1	5,536	(64)	53	852	(876)	2,065	7,883	(9,258)	299	(802)	333	1,194	35	226	(872)	(1,558)	494	362
15-May-26	(968)	(1,006)	(184)	(13,141)	5	(2,507)	283	(82)	2,420	(1,228)	(16,594)	3,511	(11,640)	1,145	961	50	(1,361)	(23)	(38)	(659)	283	804	(760)
22-May-26	(1,122)	(1,128)	(46)	(8,750)	(22)	132	(93)	(230)	(279)	(1,445)	(10,132)	2,896	(8,521)	(416)	1,669	135	(2,265)	(43)	528	(1,024)	2,927	279	420
29-May-26	(2,021)	(2,323)	(694)	(2,643)	(134)	5,224	(17)	(638)	2,075	(1,972)	(923)	(2,482)	(7,376)	(615)	(3,187)	(64)	(2,387)	(5)	(130)	(516)	(1,285)	771	619
05-Jun-26	(3,071)	(3,134)	(410)	(11,533)	(14)	(2,429)	177	(261)	3,832	(920)	(17,542)	(505)	(931)	(30)	(727)	(436)	(3,095)	(1)	(294)	296	(3,883)	601	2,329
12-Jun-26	(1,277)	(1,285)	(334)	(2,371)	2	(8,497)	(47)	(162)	2,160	(1,617)	(12,686)	(3,167)	905	(779)	(1,080)	(253)	(678)	(13)	(127)	59	1,293	837	4,197
19-Jun-26	899	831	(51)	1,197	26	3,285	(14)	(3)	559	(1,125)	5,338	6,549	(7,706)	(233)	(241)	515	(297)	613	(24)	893	(1,904)	709	272
26-Jun-26	369	401	(192)	(10,173)	(35)	(11,038)	(306)	(135)	2,670	(1,532)	(21,510)	(7,653)	(12,468)	(387)	1,361	759	(3,121)	261	147	185	(1,035)	882	895
03-Jul-26	536	(198)	(153)	(12,955)	(3)	(3,517)	786	(96)	873	(1,113)	(15,402)	2,270	(6,534)	(139)	(1,815)	1,434	(1,335)	18	29	(482)	639	417	1,528
10-Jul-26	1,609	922	(96)	(2,331)	59	(5,866)	471	19	2,717	2,264	(6,135)	3,049	3,454	(796)	(49)	338	476	(12)	(4)	351	2,471	1,374	1,591
17-Jul-26	(690)	(578)	25	(457)	14	(8,760)	408	150	3,124	1,594	(9,310)	(1,763)	18,073	(75)	(1,267)	2,130	272	(43)	(61)	2,972	1,072	403	3,010
24-Jul-26	299	334	(112)	1,388	(7)	(2,164)	193	4	(58)	438	(400)		3,450	40	835	1,432	375	(0)	107	939	72	431	2,532
$mn flows																							
2022	(17,016)	(20,103)	4,267	(9,665)	(1,245)	(44,007)	5,960		17,181	32,116	(61,706)	(18,567)											
2023	21,427	16,091	(353)	10,706	(863)	6,933	(5,507)		21,463	19,248	32,341	23,380											
2024	(755)	(15,159)	1,154	2,426	(408)	(18,203)	(4,132)	(653)	64,380	39,202	(20,571)	670											
2025	(18,792)	(27,238)	(1,063)	(4,485)	(883)	(7,800)	(3,211)	(5,204)	102,798	77,461	(41,438)	36,876											
2026	(27,247)	(30,311)	(4,477)	(101,560)	(181)	(41,090)	2,336	(592)	45,279	5,650	(172,811)	65,389											
As % of Mcap																							
2024	0.0%	-0.3%	0.2%	0.1%	-0.2%	-0.8%	-0.8%	-0.2%	1.3%	0.8%	-0.2%	0.0%											
2025	-0.4%	-0.5%	-0.1%	-0.2%	-0.4%	-0.3%	-0.7%	-1.2%	1.6%	1.2%	-0.4%	0.5%											
2026	-0.5%	-0.6%	-0.5%	-3.1%	-0.1%	-1.1%	0.4%	-0.1%	0.6%	0.1%	-1.2%	0.8%											

Source: Bloomberg Finance L.P., LSEG, Nomura research

Which stocks have foreign investors net sold and bought YTD?

As of 24 July, foreign investors has net sold KRW158tn of the KOSPI while foreign ownership based on value has increased to 40.2% from 37% in January 2026. After the KOSPI's peak on 22 June, foreign ownership (as a %) has remained stable compared to the decrease in value held by foreign investors. This suggests foreign investors have been relatively more resilient in holding their positions – as seen in companies like SEMCO (009150 KS, Buy), LG Energy Solution (373220 KS, Buy), KB Financial Group (105560 KS, Not rated), Samsung C&T (028260 KS, Not rated) and Hanwha Aerospace (012450 KS, Not rated). We note foreign ownership has declined in Samsung Electronics (005930 KS, Buy), SK Square (402340 KS, Not rated), HMC (005380 KS, Buy), HD Hyundai Heavy Industries (329180 KS, Reduce) (*Fig. 8*).

Fig. 8: Foreign ownership changes of the KOSPI, KOSDAQ and top market cap stocks

Company Name	Market Capitalization (KRW bn)	2005 average	Jan 2026 average	Apr 2026 average	24-Jul-26
KOSPI	2,204,932	41.5%	37.0%	37.4%	40.2%
KOSDAQ	49,970	13.6%	10.0%	10.5%	12.0%
Samsung Electronics	1,458,647	54.2%	52.0%	48.9%	46.8%
SK Square	146,342	-	51.5%	49.8%	45.5%
SEMCO	99,044	17.0%	37.8%	39.0%	39.8%
HMC	82,108	48.8%	34.7%	27.6%	25.2%
LG Energy Solution	77,103	-	4.8%	5.1%	5.5%
Samsung Biologics	70,270	-	12.8%	12.6%	12.8%
Samsung Life Insurance	63,600	-	23.2%	23.3%	23.4%
KB Financial Group	60,829	-	75.7%	75.8%	79.5%
Samsung C&T	55,461	-	29.6%	31.0%	30.9%
HD Hyundai Heavy Industries	50,959	-	14.8%	14.3%	13.9%
Hanwha Aerospace	50,481	4.6%	44.8%	45.3%	45.4%

Source: KRX, Nomura research

How Korea's ETFs intensified market volatility

Since the launch of the first leveraged ETF in the KOSPI in 2010, the number expanded to ~30/56 in 2020/26. Korea's total ETF market has ~KRW450tn in AUM (source: Bloomberg), of which leveraged ETFs account for KRW27tn (as of 23 July), comprising ~6% of the total ETF market. Due to large leveraged ETF holdings by retail investors (~85% as per our estimates) and their cumulative loss of 53% – wiping out all the gains in theory for those that invested at the KOSPI's peak (*Fig. 10*) – the South Korean government announced supplementary measures for trading in single-stock leveraged ETFs on 16 July. Of the leveraged ETF products (in Korea, leverage is capped at 2x):

- A total 61 leveraged ETFs have Koreas equities as underlying index with 56 listed in Korea, 2 listed in the US, and 3 listed in Hong Kong;
- KRW11tn (as of 23 July), or ~30% (as of number of ETFs) of leveraged ETFs are single-stock leveraged ETFs, with all of them using Korea's two large semiconductor stocks as underlying assets. Out of Korea's total leveraged ETF AUM of KRW27tn (23 July), single stock leverage ETFs represent 11tn, ~40%. Number of product wise, 61 leveraged ETFs (including all sectors, index wide ETF) are available in Korea/Hong Kong/US, 19 are single stock leveraged ETFs are available. Korea has launched 16 single stock leveraged ETFs on 27 May 2026.
- We estimate that ~85% of the leveraged ETF holdings is by retail investors, ~5% by foreign and 10% by institutional investors.
- For single-stock leveraged ETF products, we estimate foreign ownership is closer to 10% (source: we use a mix of Quantiwise data, but no exact ownership is available).
- Considering our estimate of retail ownership of the KOSPI and general ETFs (including leveraged products) is 35% and 60%, respectively, leveraged ETF ownership by retail is large.

Fig. 9: Korea's leveraged ETF snapshot

Total number of leveraged ETFs (including single stock)	61
Number of Korea listed leveraged ETFs	56
Number of overseas listed leveraged ETFs	5
Number of single stock leveraged ETFs	19
Number of Korea listed single stock leveraged ETFs	16
Number of overseas listed single stock leveraged ETFs	3

ETF AUM listed in Korea (KRWbn) - [A]	442,145
Leveraged ETFs' AUM (KRWbn) - [B]	26,473
Share of leveraged ETFs AUM - [B/A]	*6.0%*
Single stock leveraged ETFs' AUM (KRWbn) - [C]	10,826
Share of single stock leveraged ETFs AUM - [C/B]	*40.9%*

AUM of Top 5 leveraged ETFs		
ETF name	Ticker	AUM (KRWbn)
Samsung KODEX Leverage ETF	122630 KS	6,099
Samsung KODEX SK Hynix Single Stock Leverage	0193T0 KS	3,752
Samsung KODEX KOSDAQ150 Leverage ETF	233740 KS	2,643
Mirae Asset Tiger SK Hynix Single Stock Leverage	0195S0 KS	2,246
Samsung KODEX Samsung Electronics Single Stock Leverage	0193W0 KS	2,243

Note: data as of 23 July
Source: Bloomberg Finance L.P., Nomura research

Leveraged ETF loss at ~53% since 22 June (vs KOSPI's -22%)

Since the KOSPI's peak of 9,115 on 22 June, Korea's leveraged ETFs' return has fallen 53% (only for onshore-listed ETFs, excluding overseas listed ones) against a decline of 22% for the KOSPI index and 25-35% for two semi stocks during the same period, implying a more than 2x loss vs the KOSPI index. The inherent risk of leveraged ETFs are the following: 1) daily rebalancing erodes returns in choppy markets (also called volatility decay); and 2) performance-chasing flows (fund inflow tends to accelerate after the gains and stays for the losses) leave peak AUM exposed to the market fall.

Fig. 10: Performance comparison of underlying index and 2x leveraged ETFs

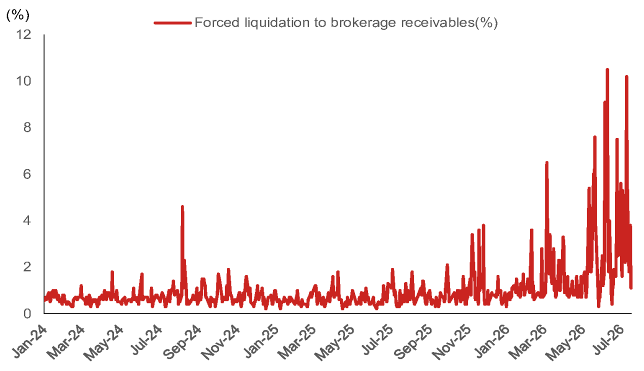
	Underlying index/stock			NAV change of 2x leveraged ETFs		
	YTD 2026	Since Jun'26	Since 22 Jun'26	YTD 2026	Since Jun'26	Since 22 Jun'26
KOSPI	64.7%	-19.2%	-22.1%	-	-	-
KOSPI 200	80.5%	-19.5%	-23.8%	122.9%	-49.5%	-52.6%
KOSDAQ	-16.4%	-24.7%	-18.4%	-	-	-
KOSDAQ 150	-14.9%	-27.2%	-22.9%	-51.4%	-58.0%	-51.8%
Samsung Electronics	108.0%	-24.2%	-24.5%	-	-57.7%	-55.8%

Source: Bloomberg Finance L.P., Nomura research

Margin call and forced liquidation have become volatile since May 2026

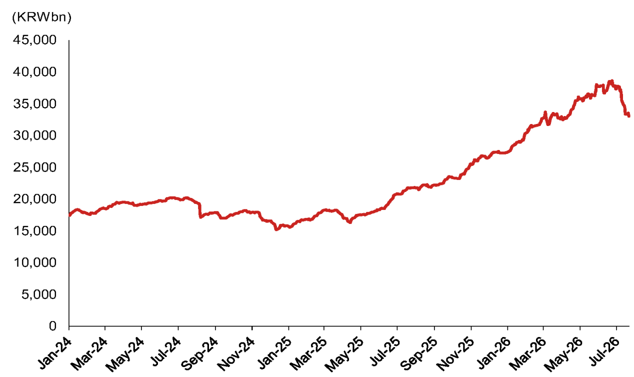
We believe the sharp increase in retail investors' forced liquidations (*Fig. 11*) relative to outstanding margin receivables suggests that Korea's retail leverage has become vulnerable. Forced selling has also contributed to market volatility through a self-reinforcing deleveraging cycle.

Fig. 11: Korea: retail investors' forced liquidation to brokerage receivables



Note: Forced liquidation occurs when brokerages sell investors' securities after margin loans remain unpaid by the settlement deadline.
Source: KOIFA, Nomura research

Fig. 12: Margin debt trend



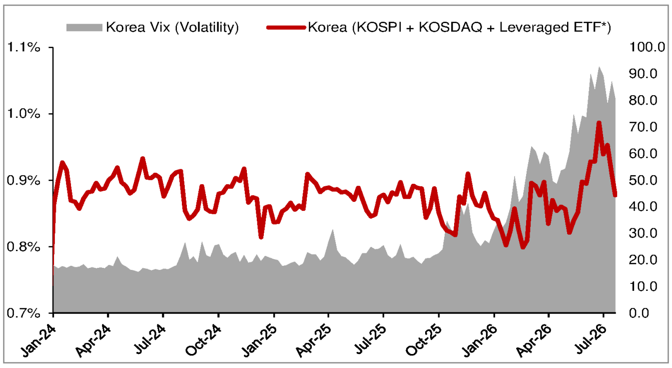
Source: KOFIA, Nomura research

The ongoing deleveraging may be a "re-setting" process

We believe the reduction in margin debt (*Fig. 12*), leveraged ETF exposure and foreign selling slowdown should ease the volume of KOSPI selling while restoring a more fundamental-driven market outlook.

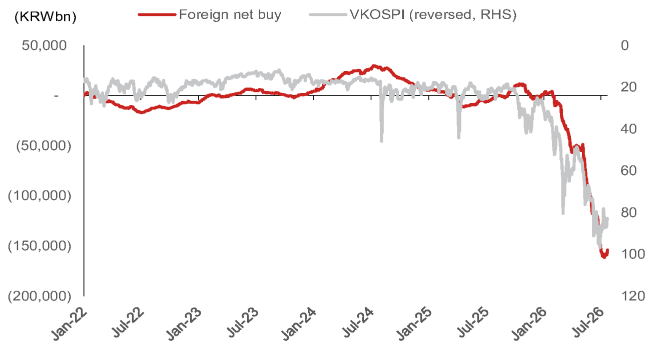
- The pace of foreign net selling has slowed since July (*Fig. 16*) with month-to-date July net sell of KRW9.8tn (KRW48.4tn/44.5tn in May/June 2026). This is likely related to the KOSPI's correction since 22 June, which mechanically reduces foreign institutional sales, in our view.
- K-VIX (*Fig. 13*-*14*) – Korea's implied volatility index derived from KOSPI 200 options, representing the market's expected 30-day volatility – still remains high at ~90. For the KOSPI to rebound, we would need to see K-VIX stabilize and decline before a fundamental rally can prevail.
- A slowdown in leveraged ETF flows (*Fig. 17*) and decrease in AUM since 22 June suggests that the amount of exposure capable of amplifying KOSPI movements has fallen from its June peak. However, if we see an increase in ETF fund flows or continuation of net buying, then that would indicate that investor risk appetite remains intact and deleveraging is not complete.
- Retail and ETF dip-buying (expressed buy Financial Investment; *Fig. 16*) has become less aggressive in July.

Fig. 13: K-VIX vs margin debt/market cap ratio



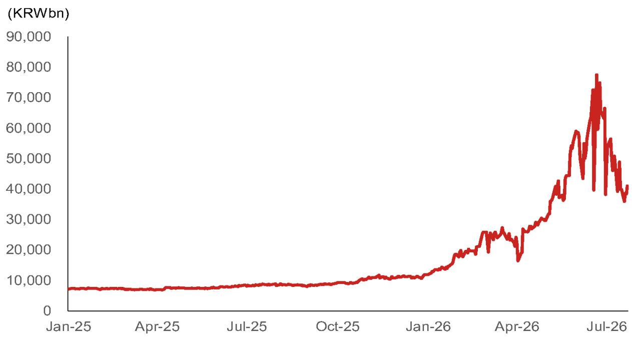
Note: KVIX is Korea's implied volatility index derived from KOSPI 200 options, representing the market's expected 30-day volatility.
Source: Bloomberg FInance L.P., KOFIA, Nomura research

Fig. 14: K-VIX vs KOSPI foreign selling



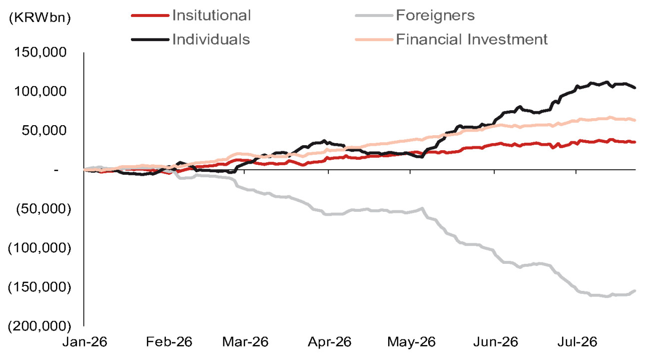
Source: Bloomberg Finance L.P., Nomura research

Fig. 15: Korea leveraged ETF AUM trend



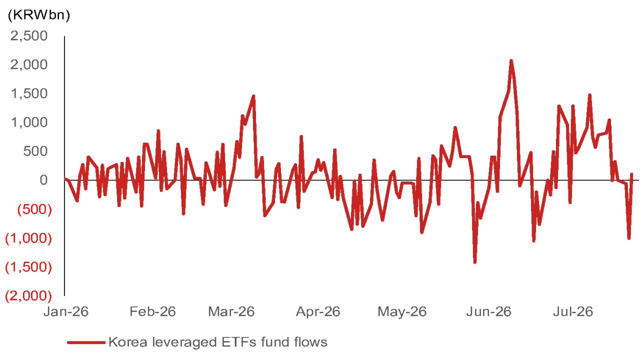
Source: Bloomberg Finance L.P., Nomura research

Fig. 16: Cumulative net buying of KOSPI by investors



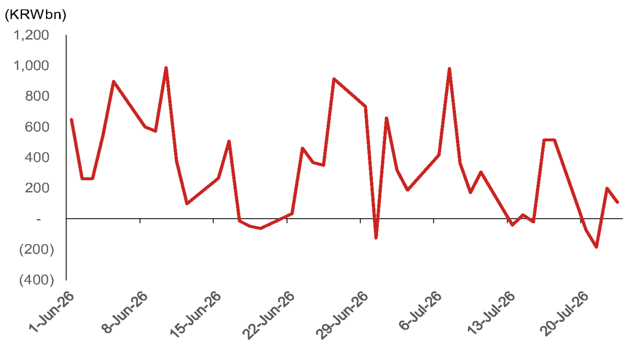
Source: KRX, Nomura research

Fig. 17: Korea's leveraged ETF fund flows



Source: Bloomberg Finance L.P., Nomura research

Fig. 18: Korea's single-stock leveraged ETF fund flows

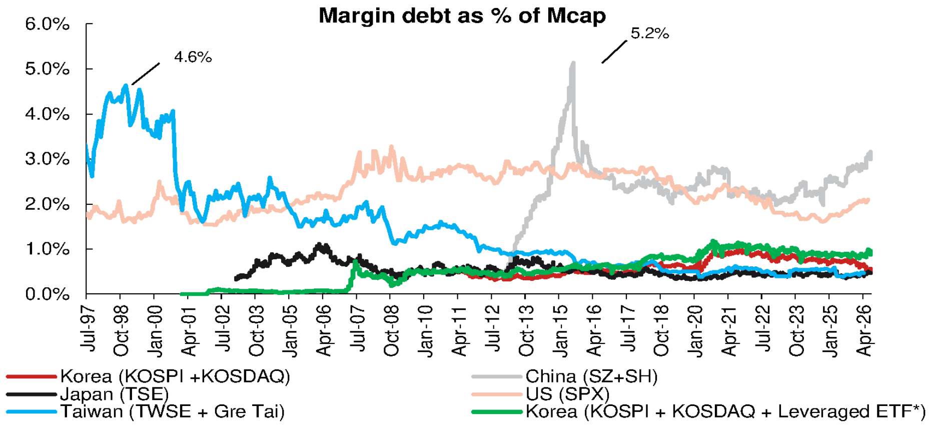


Source: Bloomberg Finance L.P., Nomura research

Korea's government announced restrictions on leveraged ETFs

On 16 July, Korea's financial authorities introduced new regulations targeting single stock leveraged ETFs to curb excessive speculation and improve market stability. The measures include a temporary suspension of new product listings and advertising, tighter ETF premium/discount management by liquidity providers, stricter investor eligibility requirements — including raising the minimum cash deposit from KRW10mn to KRW30 mn — and applying the same rules to both domestic and overseas single-stock leveraged ETFs. The minimum trading unit will also be increased from one to 20 shares.

Fig. 19: Margin debt as % of market cap



Source: Bloomberg Finance L.P., CEIC, LSEG, Nomura research

2H26F KOSPI drivers

Maintain KOSPI target of 10,000-11,000

The recent Korea equity market correction, in our view, is pricing in concerns over slower AI capex growth globally, competition intensifying among AI semi chain, peak/ normalization of commodity memory pricing, and possibilities of no more earnings upgrade. However, we retain our positive thesis stemming from a commodity memory/ HBM supercycle, which we believe will be key drivers for the KOSPI's earnings (253%/35% y-y) and ROE (27%/29%) for 2026F/27F. We maintain our 2026F KOSPI target to 10,000-11,000 based on 2026F P/E of 10.5-11.5x, P/BV of 2.5-2.8x, and ROE of 27% (currently trading at 2026/27F P/E of 7.0x/5.2x and P/BV 1.7x/1.3x).

We see the following as key KOSPI catalysts: (1) AI-driven earnings (including memory/ HBM, power equipment, ESS, and nuclear) to generate sustainable ROE for the next five years; (2) listed companies' shift toward better capital efficiency, shareholder returns, and optimal leverage to support higher P/E and P/BV; (3) active stewardship or activist campaigns; and (4) government enforcement for better target ROE disclosure and regulatory measures to facilitate non-core asset holdings, stricter listing requirement and governance structure.

Sector-wise, we are also positive on: (1) defense which benefits from rising geopolitical tensions and each country's defense need; in particular, Korea is leveraged to the Middle-East's increase in weapon imports; and (2) the auto sector which is transforming into physical AI and autonomous driving platforms.

KRW's appreciation – will it continue?

We believe Korea's large trade surplus of USD138bn in 1H26 (vs USD27bn in 1H25) and likelihood of such trade surplus sustaining provide a foundation of further appreciation of the KRW in 2H26F. We think that if the equity market continues to trade at depressed valuation multiples despite improving fundamentals, foreign selling pressure should remain limited while the KRW continues to strengthen. Conversely, if stronger fundamentals and enhanced shareholder returns drive a market re-rating (higher PER), the resulting increase in foreign investors' mechanical selling could partially offset the appreciation pressure on the KRW.

2Q26 earnings preview

2Q26 earnings have started; our team sees the following trend/preview:

- Technology: slightly above to in-line
- Auto/battery chain/internet/utility: below expectations
- Shipbuilding: likely to beat the consensus by ~10% thanks to favorable FX
- Defense, telco, entertainment: OP in line with expectations

Fig. 20: Nomura vs consensus – 2026-28F net profit

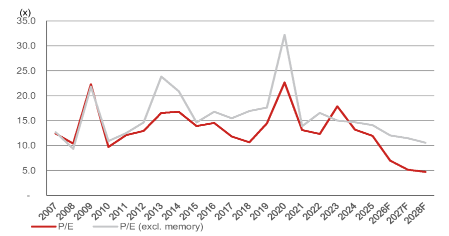
(KRWbn)	2026F net profit				2027F net profit				2028F net profit				P/E		
Sector	Nomura est.	y-y	Consensus	Diff	Nomura est.	y-y	Consensus	Diff	Nomura est.	y-y	Consensus	Diff	2026F	2027F	2028F
Semi	595,141	582%	539,990	10%	885,187	49%	788,302	12%	1,062,996	20%	886,404	20%	4.5x	3.0x	2.5x
Non-semi tech	4,035	80%	4,781	-16%	7,951	97%	7,621	4%	15,500	95%	14,378	8%	35.1x	17.8x	9.1x
Auto/parts	23,588	14%	23,443	1%	24,684	5%	25,859	-5%	25,661	4%	27,749	-8%	7.7x	7.3x	7.1x
Shipbuilding	9,911	32%	11,120	-11%	11,952	21%	12,670	-6%	14,195	19%	14,546	-2%	14.8x	12.3x	10.3x
Battery	302	na	350	-14%	1,567	420%	3,193	-51%	3,321	112%	5,352	-38%	418.0x	80.4x	37.9x
Steel/metal	1,753	166%	1,889	-7%	1,863	6%	2,431	-23%	2,908	56%	2,908	0%	13.7x	12.9x	8.2x
Defense	4,112	44%	4,129	0%	5,952	45%	5,683	5%	7,128	20%	6,761	5%	25.0x	17.3x	14.4x
Telecom	3,443	29%	3,401	1%	3,537	3%	3,716	-5%	3,886	10%	3,986	-3%	11.0x	10.7x	9.7x
Nuclear	9,933	15%	6,522	52%	12,882	30%	8,433	53%	13,895	8%	9,430	47%	6.3x	4.9x	4.5x
Power equipment	2,111	39%	2,271	-7%	2,892	37%	3,072	-6%	3,865	34%	3,865	0%	38.7x	28.2x	21.1x
Healthcare	3,862	24%	3,795	2%	4,367	13%	4,423	-1%	4,997	14%	5,044	-1%	28.9x	25.6x	22.3x
Internet/Media	4,345	31%	4,320	1%	4,519	4%	5,187	-13%	4,826	7%	5,811	-17%	16.0x	15.3x	14.4x
Financials	50,036	21%	50,036	0%	51,843	4%	51,843	0%	52,165	1%	52,165	0%	8.9x	8.6x	8.5x
Consumer	8,700	14%	8,700	0%	9,849	13%	9,849	0%	11,059	12%	11,059	0%	13.5x	12.0x	10.6x
Chem	2,335	na	2,335	0%	5,488	135%	5,488	0%	7,880	44%	7,880	0%	32.2x	13.7x	9.5x
Construction	5,870	49%	5,870	0%	5,519	-6%	5,519	0%	6,001	9%	6,001	0%	8.9x	9.4x	8.7x
Others	123,418	145%	123,418	0%	115,494	-6%	115,494	0%	22,818	-80%	22,818	0%	12.1x	12.9x	65.2x
Total	**852,896**	**253%**	**796,369**	**7%**	**1,155,547**	**35%**	**1,058,784**	**9%**	**1,263,101**	**9%**	**1,086,158**	**16%**	**7.0x**	**5.1x**	**4.7x**
EPS	**959**	**253%**			**1,300**	**35%**			**1,421**	**9%**					
BPS	**3,934**	**27%**			**5,076**	**29%**			**6,340**	**25%**					
ROE	**27.3%**				**28.8%**				**24.9%**						

Note: 1) EPS based on earnings excluding losses, 2) financial, consumer, chemical and construction earnings are based on consensus.
Source: Company data, Nomura estimates, Bloomberg Finance L.P.

Risks to our view

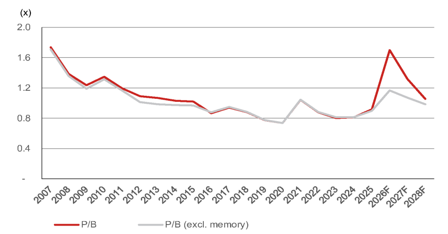
- Corporate stock buyback falling short of our expectations. We assume (*Fig. 3*) that share buybacks by the two large semi companies can exceed KRW110tn this year (2025: KRW8.2tn; Korea as a whole bought back KRW20tn worth of shares). If the buyback falls short of our expectations for 2026F and beyond (we assume 50% of free cashflow for the semi companies), the KOSPI's trajectory may fall below our target.
- From this year's trend, foreign investors' mechanical selling may exacerbate once the KOSPI reaches 7,500-9,000 without further KOSPI earnings or ROE upgrade. This could pose risks to our KOSPI target view.
- Our base case assumes that retail investors become less leverage-driven than 1H26 due to already announced regulatory tightening and further enforcements that are likely to come. The downside risks to such a view would be a rebuilding of speculative leverage before fundamentals can improve.

Fig. 21: KOSPI P/E trend without memory



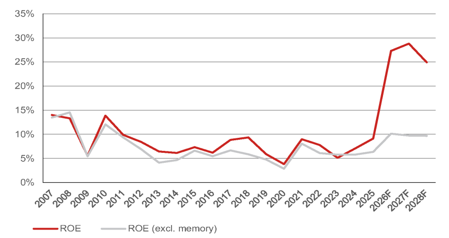
Source: Bloomberg Finance L.P., Nomura estimates

Fig. 22: KOSPI P/B trend without memory



Source: Bloomberg Finance L.P., Nomura estimates

Fig. 23: KOSPI ROE trend without memory



Source: Bloomberg Finance L.P., Nomura estimates

Korea – key policies in 2H26F

Equity market related guidelines

We believe key policy developments in 2H26F are likely to include tighter regulation of single-stock leveraged ETFs (than what was announced on 16 July), publication of a low-PBR company list, incentives for higher dividends, stricter duplicate-listing rules and KOSDAQ reform. The low-PBR list, expected around November, could become the most direct company-specific catalyst by encouraging treasury-share cancellation, higher dividends and disposal of non-core assets, in our view. Meanwhile, we believe stricter duplicate-listing rules and KOSDAQ reforms should improve shareholder protection, reduce parent-company discounts and strengthen overall market quality.

Fig. 24: Key policies on Korea equity market

Expected timing	Expected announcement/measure	Potential equity-market impact
July	Launch of the Global Core Investor Council	Improved foreign investor accessibility and stronger expectations for potential MSCI Developed Market inclusion
July onward	Finalization and implementation of detailed rules to prohibit duplicate listings in principle	Potential narrowing of holding-company and parent-company discounts
End July - Early August	Increase in minimum deposit requirement for single-stock leveraged ETFs from KRW10mn to KRW30mn, with the requirement to be met entirely in cash	Reduced short-term trading and leveraged exposure
28 September - 16 October	Korea Premium Week	Strengthened overseas investor relations and potential foreign capital inflows
October	Roadmap for shortening of the equity settlement cycle from T+2 to T+1	Positive for market accessibility and Korea's potential MSCI Developed Market inclusion
November	Official publication of the list of low-PBR companies	Potential company-specific share-price impact
2H26	Prepare segmentation of KOSDAQ	Potential changes in KOSDAQ fund flows and restructuring or delisting of weaker listed companies
	Expansion of foreign omnibus accounts' eligible investments from equities to ETFs	Increased foreign demand for Korea-listed ETFs
	Three major structural-reform programmes for KOSDAQ 1) Innovative companies: expand tailored listing tracks for high growth companies 2) Weak companies: strengthen delisting requirements for penny stocks 3) Market segmentation	Potential changes in KOSDAQ fund flows and restructuring or delisting of weaker listed companies
	Measures to encourage higher dividend payouts by listed companies	Potential benefits for banks, insurers, telecommunications companies and holding companies
	Introduction of interest payments on IPO subscription deposits	Potential increase in funding costs for securities companies

Source: MOFE, FSC, KRX, Nomura research

2026 tax reform proposal

We believe Korea's 2026 tax reform proposal – to be released in end-July – is likely to focus on encouraging long-term investment in Korean equities while strengthening support for strategic industries and regional growth. Key measures under discussion include: 1) higher tax incentives for long-term domestic equity investment through ISAs, pension accounts or other dedicated investment vehicles; 2) reforms to the inheritance and gift tax valuation framework aimed at reducing controlling shareholders' incentive to suppress share prices; and 3) enhanced tax credits for AI, semiconductors, and other strategic industries, and regional investment incentives.

The real estate tax adjustment will also be key agenda, but the overall direction of the package appears broadly supportive of the equity market by promoting long-term capital formation, improving shareholder returns, and encouraging corporate investments, to our understanding.

In Korea, capital gains on Korea-listed domestic equities are generally exempt from taxation for retail and institutional investors (but domestic institutional investors are taxed under the corporate tax, with capital gains treated as taxable income). However, shareholders classified as "major shareholders" remain subject to a capital gains tax. A major shareholder is defined as having 1% of a KOSPI-listed company or holds KRW5bn or more in a single listed company (KRW5bn applies to both the KOSPI/KOSDAQ while the ownership threshold is 2% for KOSDAQ). Capital gains are taxed at 20-22% on taxable gains up to KRW300mn and 25-27.5% on gains exceeding KRW300mn.

Fig. 25: Key agendas discussed on 2026 tax revision bill

Area	Expected measure	Potential market impact
Long-term domestic equity investment	Expanded tax benefits for Productive Finance ISAs and funds investing in Korean equities, potentially linked to minimum holding periods	Could channel household savings into long-term equity investment
National Growth ISA and public investment funds	Income deductions and preferential separate taxation of dividends for long-term investment in National Growth Fund-related products	Greater long-duration funding for AI, semiconductors and strategic industries
Dividend taxation	Possible adjustment or expansion of preferential taxation for investors in high-dividend or dividend-growth companies	Potential rerating of financials, telecoms and holding companies
Inheritance-tax valuation of undervalued shares	Possible inclusion of Lee So-young's "stock-price suppression prevention bill," which would introduce an asset-value-based floor for controlling-shareholder stakes in companies trading below 0.8x P/B	Could reduce incentives to suppress share prices and encourage dividends and treasury-share cancellation
Regional investment incentives	Enhanced corporate, investment and R&D tax incentives for strategic industries under the "Five Poles and Three Special Regions" framework	Positive for advanced manufacturing and regional industrial investment
Regional workers and relocating companies	Expanded income-tax relief for regional workers and tax incentives for companies relocating to or establishing operations outside Seoul	Could support regional investment and labor availability
AI, semiconductors and strategic technologies	Expansion or extension of R&D and facility-investment tax credits for AI, chips, batteries, biotech, robotics and power infrastructure	Improves cash flow and investment returns for capital-intensive companies
Venture and growth capital	Potential strengthening of incentives for venture funds, business development companies and scale-up investment	Could improve funding conditions for KOSDAQ and private growth companies
Real estate tax	Potential increase of property holding tax by increasing fair market value ratio for comprehensive real estate tax from 60%, but reduce capital gain tax on real estate	Higher tax burden on multi-homeowners
SME succession through M&A	Preferential capital gains tax for old SME owners who sell their shares to other companies or PEFs	Facilitate third-party succession and increase small-size M&A transaction

Source: Nomura research

Appendix A-1

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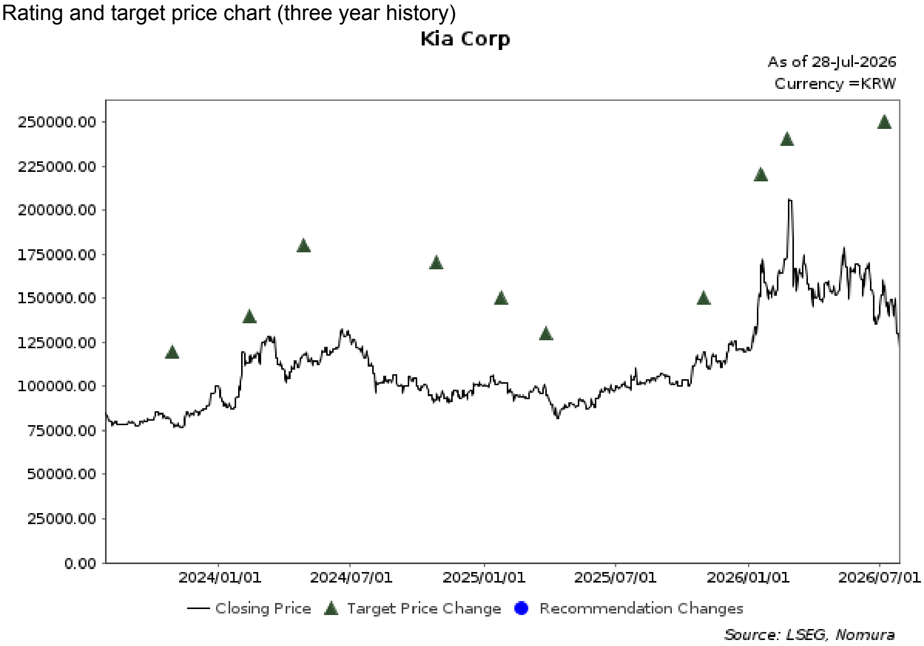
Materially mentioned issuers

Subject issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Kia Corp	000270 KS	KRW 130,400	27-Jul-2026	Buy	N/A	
Samsung Electronics	005930 KS	KRW 254,000	27-Jul-2026	Buy	N/A	
Samsung SDI	006400 KS	KRW 431,000	27-Jul-2026	Buy	N/A	
SEMCO	009150 KS	KRW 1,325,000	27-Jul-2026	Buy	N/A	
NC	036570 KS	KRW 232,500	27-Jul-2026	Buy	N/A	
Hyundai Rotem	064350 KS	KRW 132,500	27-Jul-2026	Buy	N/A	
Celltrion	068270 KS	KRW 178,700	27-Jul-2026	Buy	N/A	

Kia Corp (000270 KS) **KRW 130,400 (27-Jul-2026)** Buy (Sector rating: N/A)

Rating and target price chart (three year history)



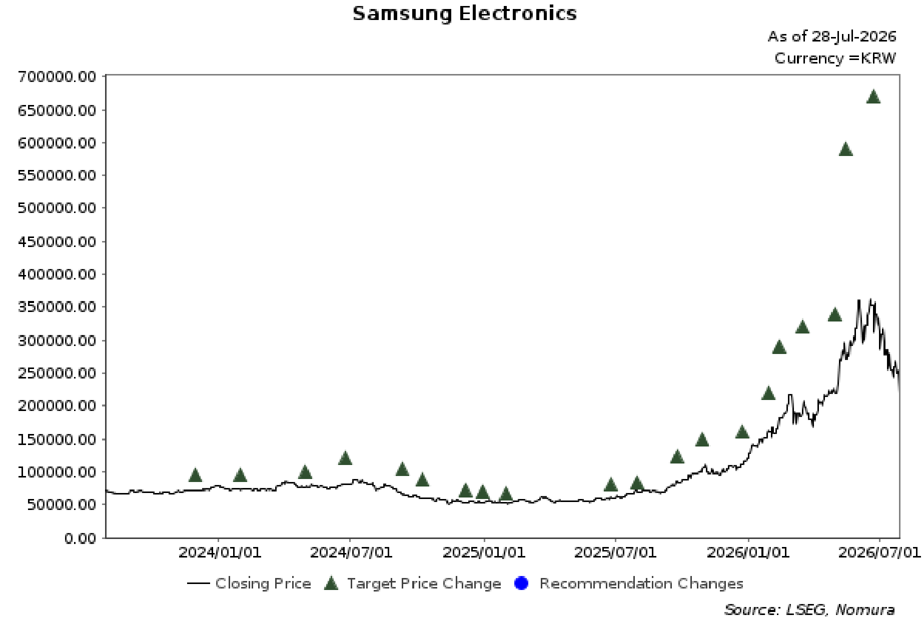
Date	Rating	Target price	Closing price
08-Jul-26		250,000.00	156,800.00
23-Feb-26		240,000.00	172,700.00
19-Jan-26		220,000.00	169,500.00
31-Oct-25		150,000.00	119,900.00
27-Mar-25		130,000.00	97,900.00
24-Jan-25		150,000.00	101,700.00
27-Oct-24		170,000.00	92,700.00
28-Apr-24		180,000.00	118,200.00
13-Feb-24		140,000.00	117,200.00
29-Oct-23		120,000.00	79,700.00

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our TP of KRW250,000 is based on SOTP valuation comprising (1) Kia's operating value; and (2) value of its stake in Boston Dynamics. The benchmark index for this stock is KOSPI.
Risks that may impede the achievement of the target price A key downside risk to our TP is potential KRW appreciation.

Samsung Electronics (005930 KS) **KRW 254,000 (27-Jul-2026)** Buy (Sector rating: N/A)

Rating and target price chart (three year history)



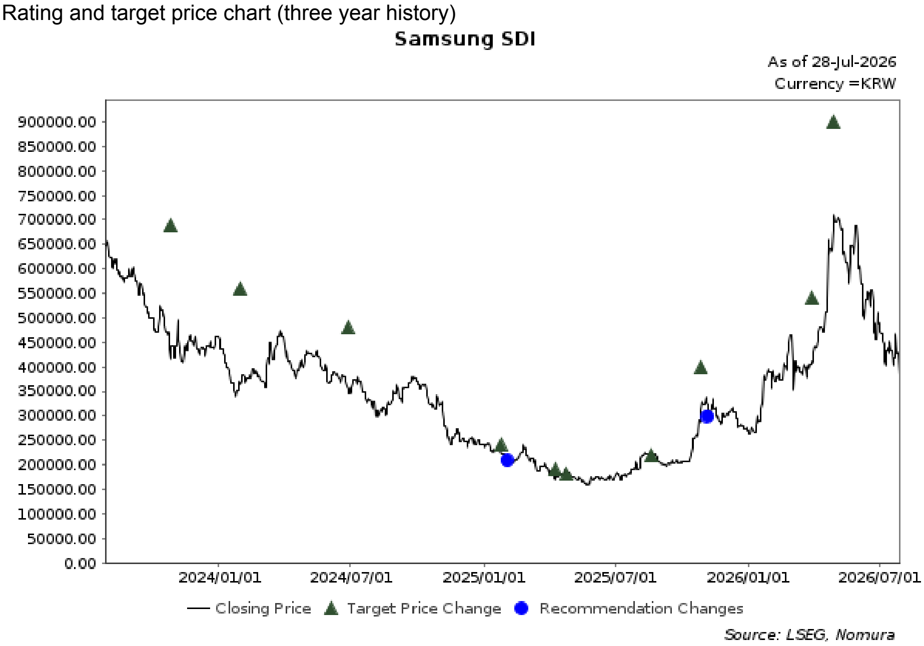
Date	Rating	Target price	Closing price
22-Jun-26		670,000.00	353,500.00
15-May-26		590,000.00	270,500.00
30-Apr-26		340,000.00	220,500.00
17-Mar-26		320,000.00	193,900.00
12-Feb-26		290,000.00	178,600.00
29-Jan-26		220,000.00	160,700.00
24-Dec-25		160,000.00	111,100.00
30-Oct-25		150,000.00	104,100.00
24-Sep-25		123,000.00	85,400.00
31-Jul-25		84,000.00	71,400.00
25-Jun-25		80,000.00	61,300.00
01-Feb-25		67,000.00	52,400.00
30-Dec-24		70,000.00	53,200.00
06-Dec-24		72,000.00	54,100.00
08-Oct-24		88,000.00	60,300.00
10-Sep-24		104,000.00	66,200.00
24-Jun-24		120,000.00	80,600.00
30-Apr-24		100,000.00	77,500.00
31-Jan-24		95,000.00	72,700.00
30-Nov-23		96,000.00	72,800.00

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our 12-month TP of KRW670,000 is derived by applying a target P/B of 5.0x to 12MF BVPS of KRW133,139. The target multiple reflects enhanced business stability and visibility backed by memory long-term agreements. The benchmark index for the stock is the KOSPI 200.
Risks that may impede the achievement of the target price Downside risk includes potential US tariffs on semiconductor products, delay in data center construction due to power supply shortage, and slowdown in AI capex under a higher interest rate environment.

Samsung SDI (006400 KS) **KRW 431,000 (27-Jul-2026)** Buy (Sector rating: N/A)

Rating and target price chart (three year history)



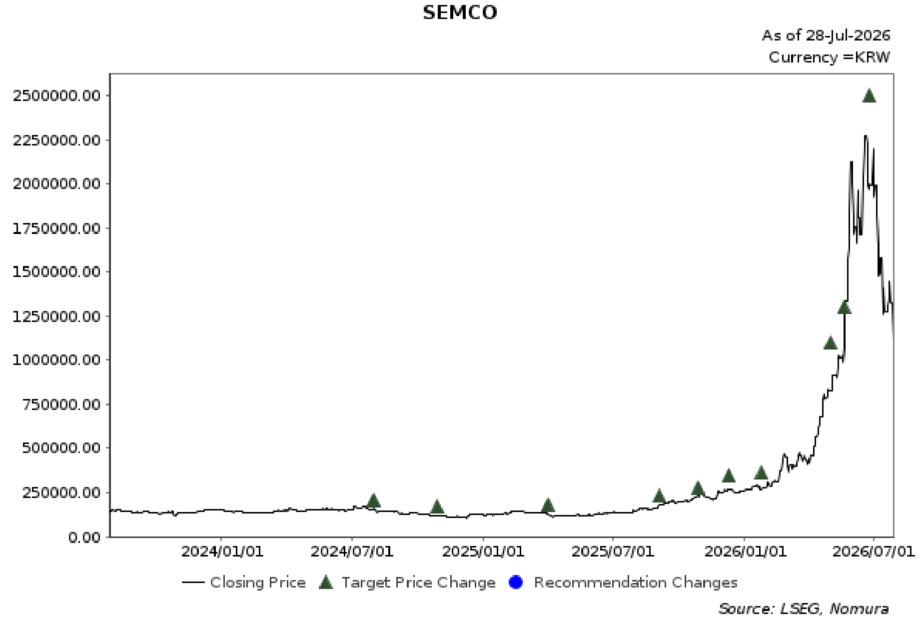
Date	Rating	Target price	Closing price
28-Apr-26		900,000.00	680,000.00
30-Mar-26		540,000.00	412,500.00
28-Oct-25	Buy		312,000.00
28-Oct-25		400,000.00	312,000.00
20-Aug-25		220,000.00	217,500.00
25-Apr-25		180,000.00	185,100.00
09-Apr-25		190,000.00	168,099.00
24-Jan-25	Neutral		221,750.00
24-Jan-25		240,000.00	221,750.00
27-Jun-24		480,000.00	353,430.00
30-Jan-24		560,000.00	366,647.00
26-Oct-23		690,000.00	414,130.00

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our TP of KRW900,000 is based on our SOTP valuation, reflecting 1) LiB business value at KRW68tn and 2) EM business fair value of KRW3.2tn. The benchmark index for the stock is KOSPI 200.
Risks that may impede the achievement of the target price Downside risks include failure to exit operating loss in 2H26 and worse-than-expected shipments of EV/powertool batteries in 2026F.

SEMCO (009150 KS) **KRW 1,325,000 (27-Jul-2026)** Buy (Sector rating: N/A)

Rating and target price chart (three year history)



Date	Rating	Target price	Closing price
25-Jun-26		2,500,000.00	1,997,000.00
20-May-26		1,300,000.00	1,061,000.00
01-May-26		1,100,000.00	832,000.00
25-Jan-26		360,000.00	272,000.00
10-Dec-25		350,000.00	268,500.00
29-Oct-25		280,000.00	232,000.00
04-Sep-25		230,000.00	178,400.00
01-Apr-25		180,000.00	128,700.00
29-Oct-24		170,000.00	120,200.00
31-Jul-24		210,000.00	159,600.00

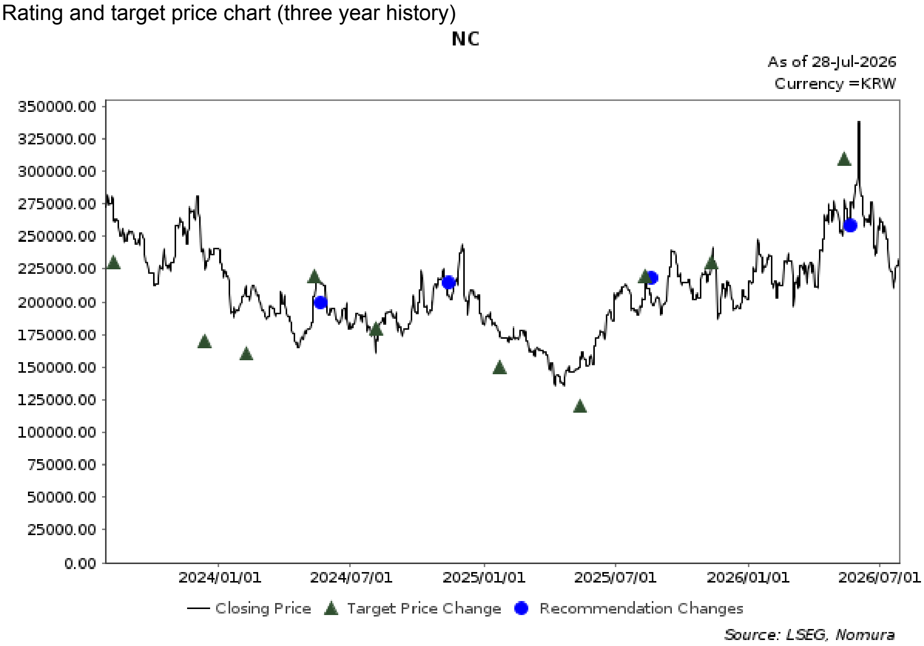
For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our TP of KRW2,500,000 is derived by applying a target P/E of 60.7x to 2027F EPS of KRW40,534. Our target multiple is global MLCC/substrate peers' 2026E consensus average. The benchmark index for the stock is KOSPI 200

Risks that may impede the achievement of the target price Downside risk is weaker-than-expected IT set demand owing to memory price increase.

NC (036570 KS) **KRW 232,500 (27-Jul-2026)** Buy (Sector rating: N/A)

Rating and target price chart (three year history)



Date	Rating	Target price	Closing price
13-May-26	Buy		263,000.00
13-May-26		310,000.00	263,000.00
11-Nov-25		230,000.00	229,500.00
12-Aug-25	Neutral		223,000.00
12-Aug-25		220,000.00	223,000.00
14-May-25		120,000.00	158,500.00
22-Jan-25		150,000.00	177,300.00
04-Nov-24	Reduce		219,500.00
05-Aug-24		180,000.00	160,400.00
12-May-24	Neutral		204,000.00
12-May-24		220,000.00	204,000.00
08-Feb-24		160,000.00	204,500.00
12-Dec-23		170,000.00	230,000.00
09-Aug-23		230,000.00	262,500.00

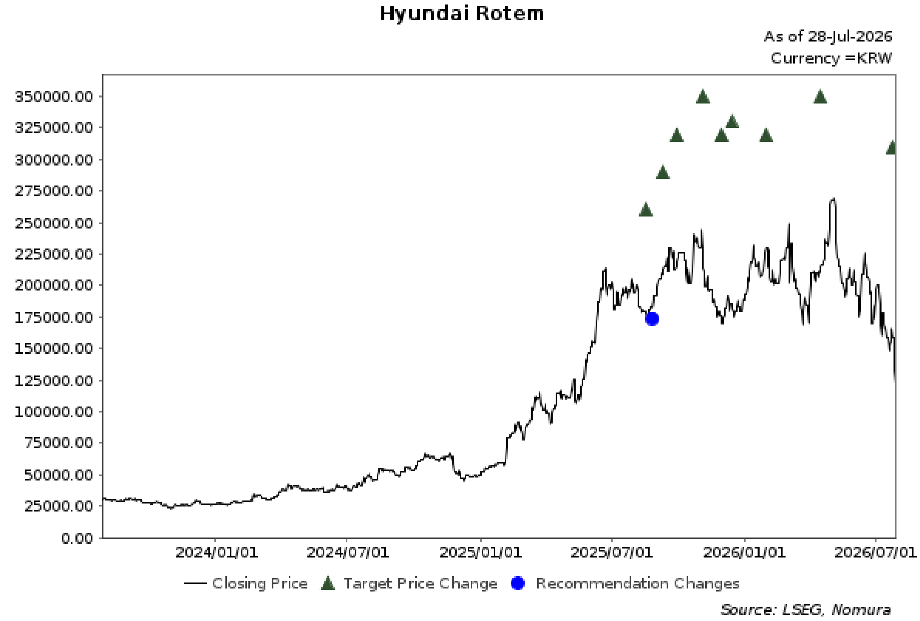
For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our TP of KRW310,000 is based on a target P/E of 15x average 2026-27F EPS. The benchmark index of the stock is KOSPI.

Risks that may impede the achievement of the target price Key downside risks include a potential slowdown in the revenue run rate of Aion 2 following its global launch and/or higher-than-expected marketing expenses for new titles.

Hyundai Rotem (064350 KS) **KRW 132,500 (27-Jul-2026)** Buy (Sector rating: N/A)

Rating and target price chart (three year history)



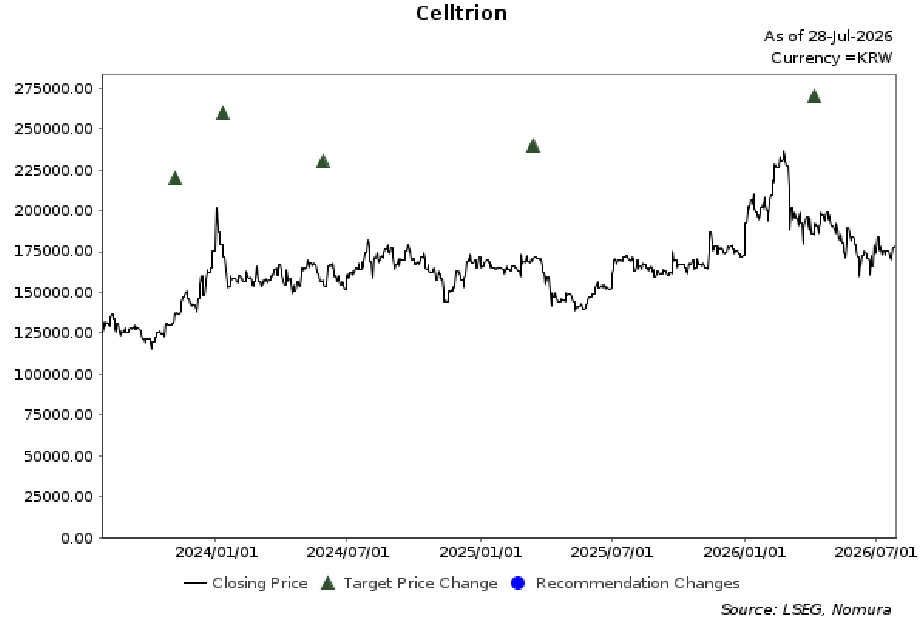
Date	Rating	Target price	Closing price
24-Jul-26		310,000.00	158,400.00
16-Apr-26		350,000.00	215,000.00
30-Jan-26		320,000.00	230,500.00
14-Dec-25		330,000.00	186,400.00
30-Nov-25		320,000.00	175,700.00
04-Nov-25		350,000.00	230,000.00
29-Sep-25		320,000.00	215,500.00
10-Sep-25		290,000.00	208,500.00
18-Aug-25	Buy		178,900.00
18-Aug-25		260,000.00	178,900.00

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our TP of KRW310,000 is derived by applying target P/E of 26.9x to 12MF EPS of KRW11,647. Our target P/E is the global peers' 2026E average P/E with a 15% discount. We have adjusted the 15% discount to reflect escalation of the Middle-East conflict, which could lead to further delays on new orders from the region Our benchmark is KOSPI.
Risks that may impede the achievement of the target price A downside risk is further delays in the Middle-East orders due to the continuing conflict between Iran and the US.

Celltrion (068270 KS) **KRW 178,700 (27-Jul-2026)** Buy (Sector rating: N/A)

Rating and target price chart (three year history)



Date	Rating	Target price	Closing price
07-Apr-26		270,000.00	184,476.00
14-Mar-25		240,000.00	170,421.00
28-May-24		230,000.00	157,771.00
11-Jan-24		260,000.00	178,789.00
07-Nov-23		220,000.00	135,706.00

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology We derive our TP of KRW270,000 based on DCF model assuming: 1) biosimilar revenue to grow at 15% p.a. in 2026-34F; 2) average operating profit margin of 33% during 2026-34F; and 3) WACC of 6.7% and a terminal growth rate of 3.2%. The benchmark index for the stock is KOSPI 200.
Risks that may impede the achievement of the target price Downside risks: disappointing or delayed new drug sales and quarterly earnings performance.

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